

The Magic of Compounding

Compounding is the main reason it's so important to start saving in your early twenties. People who wait until their forties to start saving will have to save much more than those who began in their twenties. What's worse, the late starters will never be able to catch up with those who started in their twenties without saving and investing drastically higher amounts than would have been necessary had they saved at a younger age.

There are two basic methods of calculating interest: simple interest and compound interest. Simple interest accrues only on your initial investment. Compounding means that as you earn interest on your investment, the interest is added to your original investment, and as a result you earn interest on your interest as well. The difference may not seem like much, but the effect that compounding can have over a long period of time is astounding, especially with larger initial investments and higher rates of return.



To illustrate how compounding works, assume you invest \$1,000 at 10 percent interest compounded annually. At the end of the first year, you'll have earned \$100, for a total of \$1,100. At the end of year two, the interest is calculated on \$1,100, so you'll earn \$110, for a balance of \$1,210.

Frequency of Compounding

Interest usually compounds annually, monthly, or daily. The more frequently compounding takes place, the faster your money will grow. As the balance grows larger, the difference between simple interest and compound interest becomes greater. Let's say you put \$5,000 in an account